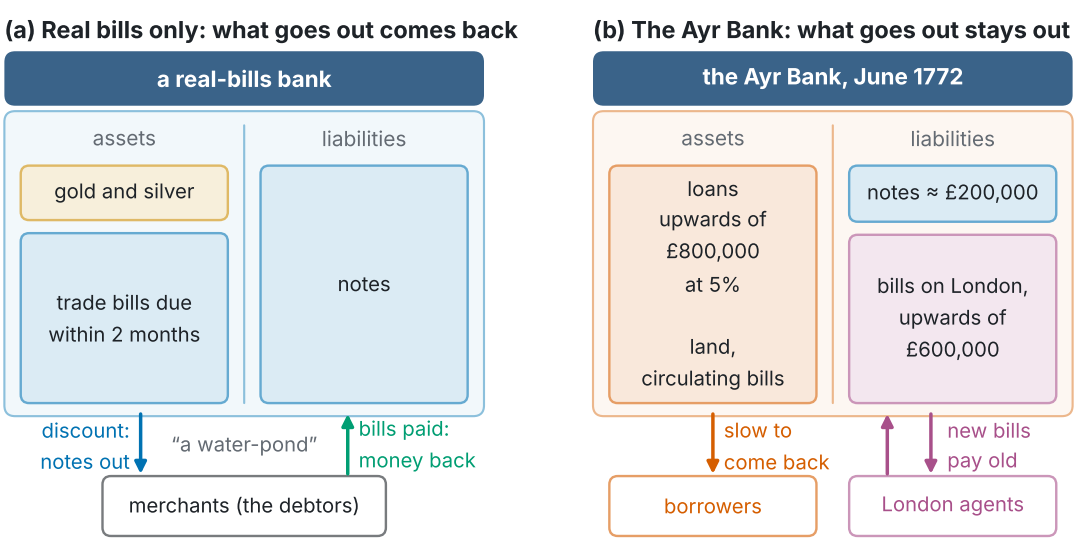
(a) Real bills only: what goes out comes back
a real-bills bank
assets
liabilities
gold and silver
trade bills due within 2 months
notes
discount: notes out
"a water-pond"
bills paid: money back
merchants (the debtors)
(b) The Ayr Bank: what goes out stays out
the Ayr Bank, June 1772
assets
liabilities
loans upwards of £800,000 at 5%
land, circulating bills
notes ≈ £200,000
bills on London, upwards of £600,000
slow to come back
new bills pay old
borrowers
London agents